E-commerce and consumer protection: a judicial perspective with reference to the Indian Supreme Court

Author- Soumen Debnath

Abstract:
The rapid growth of e-commerce in India has revolutionized the markets for consumer goods and given rise to complex legal issues surrounding data privacy, consumer protection, fair contracts and redress for grievance. This paper will evaluate the emerging jurisprudence of the Supreme Court of India in protecting consumer interests in the e-commerce environment. It will examine significant decisions, on online transactions, intermediary liability and unfair trade practices, where the Court interpreted and applied the Consumer Protection Act, 1986 and the Consumer Protection Act, 2019. The article will highlight the role of the courts in interpretative activity, seeking to fill gaps, in times of rapid technological advances, and its role in applying enduring concepts of consumer protection to digital platforms.

Keywords:

- **E-commerce:** Is the buying and selling of goods and services over the internet using digital platforms like websites and mobile apps.
- **Consumer Protection:** is the process of protecting consumers from unfair, dishonest, or damaging commercial practices. When buying products or services, it guarantees that customers have the rights to safety, knowledge, choice, and recourse.
- **Supreme Court:** is a nation's highest justice authority in India. As the last court of appeal, it has the final say on constitutional interpretation, fundamental rights defence, and legal justice.
- **Digital Marketplace:** is a website where several buyers and sellers communicate to trade digital assets, products, or services. Similar to Amazon, Etsy, or Airbnb, it serves as a virtual center that makes transactions possible without requiring a real presence.
- **Consumer Rights:** are legislative safeguards that guarantee consumers receive equitable treatment and safety in the marketplace.

"A customer is the most important visitor on our premises; he is not dependent on us. We are dependent on him. He is not an interruption in our work. He is the purpose of it. He is not an outsider in our business. He is part of it. We are not doing him a favour by serving him. He is doing us a favour by giving us an opportunity to do so…"

The nation's father - Mahatma Gandhi

Introduction

In the digital age, E-commerce has surfaced similarly to a disruptive force that is transforming how individuals obtain, supply, and exploit the goods and services they desire. Contemporary industry estimates suggest that the Indian e-commerce industry, which has experienced dramatic growth recently, is expected to grow at one of the fastest rates in history; developing to a value of more than $150 billion by 2026.

This paper aims to explore the judicial approach of the Indian Supreme Court in addressing consumer protection in the context of e-commerce. It seeks to analyse landmark decisions, interpretative trends, and evolving doctrines that reflect the Court's sensitivity to digital consumer rights. Furthermore, the paper examines how judicial reasoning has influenced the operational behaviour of e-commerce platforms and the evolving nonsupervisory armature in India.

Meaning of the Consumer Protection and e-commerce:

In general, "consumer protection" refers to safeguarding customers against a variety of unlawful business actions. Laws and organizations aimed at protecting consumers' rights, fair trade competition, and the free flow of accurate information within the company are all part of consumer protection. Therefore, there are several reasons why consumer protection is essential, including:

I. Ensuring social and ethical responsibility by commercial organizations,
II. Increasing awareness,
III. Ensuring consumer satisfaction,
IV. Ensuring Social Justice,
V. Upholding principle of trusteeship,
VI. Support Survival and Growth of Business.

In the case of **Raghubir Singh v. Thakurain Sukhraj Kuar**[1,2], the judgment was delivered by a bench of the Supreme Court of India comprising Judges such as R.S. Pathak, E.S. Venkataramiah, Sabyasachi Mukharji, and Misra Rangnath on 16th May, 1989. The court's decision concentrated on the Land Acquisition Act,

[1] AIR 1939 Oudh 96 at 99
[2] Dearmon Valorie, Risk Management and Legal Issues (Jones and Bartle Publisher, LLC)- http://www.jblearning.com/samples/0763757144/57144_CH15_470_493.

1894 and its amendments, particularly regarding solatium payments and their applicability to different stages of land acquisition proceedings.

The court clarified that the purpose of this protection is to prevent the business community from taking advantage of consumers and to prevent different types of business malpractice. The concept of "consumer rights" and the establishment of consumer groups, which assist customers in making better decisions in the marketplace and in obtaining assistance with consumer complaints[3], are associated with consumer protection.

Almost every aspect of human life has been impacted by the introduction of "information and communication technology," and the exchange of goods and services is no exception. Electronic data exchange (EDI) and electronic fund transfer (EFT) are two examples of the technologies that information technology has produced. These technologies, which are facilitated by the "Internet," have evolved into "e-commerce,[4]" or information technology-enabled business transactions. E-commerce is the conduct of business over the internet using EDI and EFT technologies.

- **Electronic Data Interchange (EDI)[5]** is the organized electronic transfer of data between organizations. It is employed for the purpose of moving commercial data or electronic documents between computer systems. In all seriousness, electronic business documents are exchanged in electronic formats with trading partners and without any physical contact, most of the company's business documents like purchase orders, invoices, shipment notices, etc., are all transmitted in the same electronic way without were transmitted using paper. B2B activity occurs electronically and processing B2B activity in an automated fashion, like before with emails or paper system, increases efficiency and reduces human error.
- **Electronic funds transfer (EFT)** is the use of computer and telecommunication technology to enable the electronic transfer of money from one account to another account at one or more financial institutions, or from one organization to another. EFT is a method of electronic

[3] West Encyclopedia of American Law; "Consumer Protection"- http://www.answers.com/topic/consumer-protection.

[4] V. Zwass, 'Structure and macro-level impacts of electronic commerce: From technological infrastructure to electronic marketplaces'- http://www.mhhe.com/business/mis/zwass/ ecpaper.html
"Beginners Guide for EDI- http://www.xtranslator.com/prod/beginguidex12

[5] "Beginners Guide for EDI- http://www.xtranslator.com/prod/beginguidex12

transfer of money between bank accounts without the use of currency, bills or actual cheques. EFT allows individuals and businesses an easier, more secure and convenient way to process their affairs, transfer money and make payments.

When someone initiates an EFT, through a number of payment networks, including the Automated Clearing House (ACH) network, the receiving bank obtains the transaction details digitally. The funds are credited to the account of the recipient by the receiving bank. The United States Electronic Fund Transfer Act of 1978 states that "a funds transfer... is initiated through an electronic terminal, telephone, computer (including internet banking), or magnetic tape, within a system established for the purpose of ordering, instructing or authorizing a financial institution to debit or credit an account of an individual."

The e-commerce transactions with its three unique features which are- a) virtuality, b) unboundedness, and c) multiplicity serve a number of benefits to the human kind in their commercial and business activities.

a) **Virtuality**- The customer and seller do not interact in person when doing e-commerce, which takes place in a virtual online setting. Rather, buyers utilize a computer to research vendors, their goods and services, conditions, and costs.
b) **Unboundedness-** Online transactions can be carried out anywhere there is an Internet connection because the Internet has no geographical restrictions. Customers may now purchase online without being limited by time or location, which lowers the cost of looking for goods and services while also saving time and effort. Additionally, it means that internet traders are not limited by time or location.
c) **Multiplicity-** A number of actors in addition to the consumer and the seller are involved in the e-commerce trading process to ensure verification.

Legal Framework Governing E-Commerce and Consumer Protection:

Although consumer protection and e-commerce are addressed by separate Indian laws in the legal domain, e-commerce and consumer protection are viewed as two sides of the same coin in the market, business, and trade domain.

As Formstone[6] demonstrates, "the aim of contract law should be protection of the contractual relationship and the balancing of the involved interests which is attainable through the articulation of legal standards." This is just one example of

[6] Michael Furmstone, Law of Contract 240 (Butterworths, Lexis Nexis, UK, 2003).

how many scholars have stressed the importance of weighing the advantages and disadvantages of any system in order to maximize societal benefits.

The role of consumer protection laws should be "to regulate market practices and social practices for controlling distressing consequences of probable violation of consumer protection with a view of ensuring adequate consumer protection along with the growth of e-commerce market[7]," according to the same balancing theory[8] used to work out the chink of consumer protection in e-commerce transactions.

In 1962, **Mr. John F. Kennedy**, the former President of United States of America, who while introducing the **"Bill of Consumer Rights"** in US Congress, for the first time has set out the four basic consumer rights including- 1) Right to Safety, 2) Right to Information, 3) Right to Choice and 4) Right to be Heard. In the recent script of now days of consumer movement and caveat venditor under the guidance of **Consumers International (CI)[9].**

Accordingly, in the present scenario the basic Consumer Rights[10] can be epitomized encyclopaedically as follows:

1. **The right to satisfaction of basic needs:** To be able to get basic, necessary commodities and services, such as appropriate food, clothing, a place of worship, medical care, education, public serviceability, water, and sanitation;
2. **The right to safety:** To be protected from goods, manufacturing procedures, and services that endanger life or health;
3. **The right to be informed**: To be protected from dishonest or misleading labelling and advertising, and to be provided with the information required to make an informed decision;
4. **The right to choose:** Being able to choose from a variety of goods and services that are guaranteed to be of acceptable quality and are provided at competitive costs;
5. **The right to be heard:** To have consumer interests taken into account in the development of goods and services, and the development and enforcement of government policy;

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[7] Ian Ramsay, Consumer Law And Policy: Text And Materials On Regulating Consumer Markets (Hart Publishing, 2007).

[8] David M. Trubek & Alvaro Santos, The New Legal And Economic Development, A Critical Apraisal 5 (Cambridge University Press, 2006).

[9] Consumers International (CI) is the world federation of consumer groups that, working together with its members, serves as the only independent and authoritative global voice for consumers with over 220 member organizations in 115 countries

[10] Consumers International, Consumer Rights, available at http://www.consumersinternational. org/who-we-are/consumer-rights.

6. **The right to redress:** To obtain fair resolution of valid claims, which could be claims about misleading advertising, poor quality goods, or inadequate services;
7. **The right to consumer education:** To build the knowledge and skills necessary to make confident, knowledgeable choices about goods and services, including awareness of the basic rights and responsibilities of consumers and how to act on those rights and responsibilities;
8. **The right to a healthy environment:** To live and work in an environment that does not harm the health of present and future generations.

These rights have been honoured by the United Nation as well as in **their "UN Guidelines for Consumer Protection[11]"**. Therefore, the idea of "ubi jus ibiremedium" has been used to identify some essential consumer rights, and it is unquestionably necessary to provide legal protection for consumers' rights in the commercial market against the exploitation of commercial organizations through unfair trade practices.

The word "**ubi jus ibiremedium**" is a Latin legal maxim which **means "where there is a right there is a remedy"**. The initial idea reflected in the maxim is that the victim of a violation of their rights will have no recourse under the law. According to the maxim, the individual whose rights are being violated has the right to take legal action to uphold those rights. The same Ubi Jus IbiRemedium premise serves as the foundation for all legal proceedings.

Consumer Protection Act, 2019

This act represents a very condemnatory turning point in India's legislative attempts to protect consumer rights in a rapidly advancing the developed frugal lifestyle. The 2019 bill was a welcome and essential update to the three-decade-old Consumer Protection Act of 1986 to address modern issues, particularly those brought on by e-commerce platforms, the digital marketplace, and misleading advertising.

The idea that traditional legal vittles were inadequate for the complexity of trade in the twenty-first century led to the addition of several innovative provisions to the Act. In an attempt to speed up access to justice, these include the creation of the Central Consumer Protection Authority (CCPA), rules governing product accountability, sanctions for deceptive advertising, and the introduction of electronic complaint filing for consumers.

[11] Consumers International, Guidelines on Consumer Protection- http://www. consumersinternational.org/who-we-are/un-guidelines-on-consumer-protection.

The Act is significant because it provides an unambiguous description of e-commerce, encompasses online platforms, and makes them accountable under consumer law for things like unfair business practices, subpar goods, and poor customer service. The Act is in line with international best practices for the defence of rights of customers by empowering consumers and creating a more dependable and cutting-edge dispute resolution process.

Information Technology Act, 2000

The **Information Technology Act, 2000 (IT Act)** is India's first all-inclusive law that addresses the legal limits of internet. India's legislative approach to controlling digital frugal living took a significant change with the adoption of the IT Act, which established legal status for digital communications and electronic transactions.

Section 79, which describes the idea of intermediary liability and grants as conditional safe harbour, to the platforms i.e. social media, various websites of e-commerce, and payment processors, forms the basis of the IT Act. However, proper diligence and adherence to legislations are necessary for this protection, which has resulted in a range of judicial interpretations and legislative developments concerning the obligations of digital intermediaries.

There are other laws that also have provisions related to the issues faced by customers while conducting e-commerce transactions even if they are not solely intended for the e-commerce sector and are listed below such as Article 38 of the Constitution of India, the 1872 Indian Contract Act (ICA), the 1860 Indian Penal Code (IPC), the Indian Copyright Act 1957, the Sales of Goods Act 1963, and the Indian Telegraph Act 1885.

Landmark Judgments:

1. Google India Pvt. Ltd. vs. Visaka Industries[12]

The Supreme Court considered intermediaries' liability under Section 79 of the IT Act in this case. The Court has stated that if intermediaries has been followed due to the diligence of guidelines, they are not responsible for any content created by the third parties. This decision of Supreme Court has clarified that the degree of protection is provided to the platforms of the intermediary of e-commerce.

2. Shreya Singhal vs. Union of India[13]

[12] (2020) 4 SCC 162

[13] (2015) 5 SCC 1

This historic ruling affected intermediary responsibility even though it mostly dealt with free expression. The Supreme Court interpreted Section 79(3)(b) of the IT respond, which mandates that intermediaries respond upon getting accurate information through a government notification or court order, in order to strike a balance between the objectives of accountability and free speech.

3. Yatin Sureshbhai Soni v. Union of India (2020)

Translucency and product labeling in e-commerce were the main topics of this case. Online platforms must clearly identify product data, such as origin, quality, and safety regulations, according to a ruling by the Gujrat High Court.

4. Indian Oil Corporation v. Consumer Protection Council, 1993 SCC (1) 397.

In the line of the Supreme Court's decision, Indian Oil Corporation as the overseer was responsible to ensure that distributors conduct was up to ethical standards. The court called on IOC not only to normalize the affected customer's gas connection but also to compensate for the trouble, reiterating the necessity of safeguarding consumer rights.

5. Sapient Corporation Employees Provident Fund Trust v. HDFC & Ors.

According to the court's ruling, banks and other financial organizations are required to provide e-commerce customers with safe payment gateways and transparent digital transactions.

6. Flipkart Internet Pvt. Ltd. v. State of NCT of Delhi & Anr.

Flipkart claims that it was only acting as a middleman in this transaction and was not responsible for any faulty goods that other merchants sold. By recognizing the intermediate function of e-commerce platforms and stressing the significance of conducting due diligence and abiding by consumer protection laws, the Delhi High Court maintained the rulings of the Supreme Court.

Challenges in Consumer Protection within E-Commerce:

The e-commerce system, in essence, embracing accessibility, convenience, and low prices, is still unveiling consumers to various hazards, which are not fully protected by traditional consumer protection measures.

1. Anonymity and Lack of Transparency

The anonymity of the suppliers and service providers is the major problem in e-commerce. Numerous platforms allow third-party vendors to operate there without having strict procedures for accountability or even knowing their identity. How can a consumer go about filing an official complaint or demanding

compensation in such a case where there is no transparency, especially with different jurisdictions?

2. Cross-Border Jurisdictional Issues

Due to e-commerce's worldwide reach, cross-border transactions involving marketplaces, buyers, and purchasers in several nations are common. The possible lack of extraterritorial validity of local consumer protection legislation poses a serious obstacle to the implementation of consumer rights, dispute settlement, and legal accountability.

3. Intermediary Liability and Dilution of Responsibility

Platforms may benefit from "safe harbour" protection from liability as intermediaries under regulations such as the Information Technology Act of 2000, providing that they take action after being notified of issues. However, misunderstanding over liability frequently results from the hazy line that separates platform from provider, particularly in marketplace models. The legal position of customers becomes uncertain when third-party merchants operating on platform websites engage in deceptive practices.

4. Collection of personal customer information to privacy and surveillance issues

The collection of personal customer information by e-commerce platforms leads to privacy and surveillance issues. E-commerce platforms collect extensive personal data from their customers through their operations. The practice of sharing customer data without consent and using segmentation for marketing purposes and weak data protection systems creates ethical problems regarding customer data usage and privacy violations.

5. Facing deception through false product and manipulates feedback

Customers face deception through false product descriptions and manipulated images and fabricated user feedback. Online transactions depend on customer trust because physical product inspection is not possible during online shopping yet platform appearances can be manipulated.

6. Slow or Denied Customer Support

Even with tools such as the Consumer Protection Act 2019's e-filing of complaints, the real consumer redressal implementation is at times slow. Lack of responsiveness on the part of vendors, complicated return policies, or platform inaction are some of the reasons that many customers end up frustrated and losing trust in digital grievance systems.

7. Digital Literacy and Awareness Gaps

Many Indian customers, especially those who reside in rural and semi-urban areas, are still ignorant of their rights in the internet marketplace. Customers are

increasingly vulnerable to phishing schemes, unethical business practices, and other types of exploitation as a result of the digital divide.

At the same time there are some limitations of e-commerce at global level[14]. In the Delhi Development Authority v. Jaagdish Chandra Luthra case, the National Consumer Disputes Redressal Commission found the DDA to have failed to provide adequate service in granting Jagdish Chandra Luthra an unfinished apartment. The court mandated the DDA provide possession of the fully paid apartment within 15 days and pay Rs. 25,000 in one single payment to make up for the inconvenience.

Role played by Supreme Court in shaping the consumer law in the age of e-commerce:

Information and communication technology has fundamentally changed the way that the businesses are knobbed by society[15] including business houses and consumers in specific. Technology has innovated business transactions as well, with the appearance of e-commerce transactions. In the present scenario, computer use and e-commerce by the use of the Internet, has given new heights to business transactions at a global platform[16]. The impact of the new technological advancements and the massive convergence of e-commerce transactions, have caught the attention of individual consumers, business enterprises, governments and international organizations not as only facilitating the growth of business endeavor but also posing a variety of challenges and confronts to various segments of social and individual interests like data protection, consumer protection, privacy violations etc.[17] Hence the challenges posed by e-commerce, called attention to the need of developing a regulatory framework to counter the e-commerce challenges for the adequate protection of consumer rights.

The Indian Supreme Court has been instrumental in forming the body of knowledge on e-commerce and consumer protection, progressively changing its stance in response to the difficulties presented by online marketplaces. In order

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[14] Rao &Metts, Electronic Commerce Development in Small and Medium Sized Enterprises: A Stage Model and its Implications 9 (1) Business Process Management Journal 11-32 (2003).

[15] Ramakrishnan Et Al., E-commerce in India-Growth and Prospects, 2(3) Asia Pacific Journal of Research in Business Management 101-114 (2011).

[16] Eisingerich, Andreas B.; Kretschmer, Tobias, In E-Commerce, More is More, 86 Harvard Business Review 20–21 (March, 2008)- http://hbr.org/2008/03/in-e commerce-more-is-more/ar/1.

[17] Elizabeth Goldsmith and Sue L.T. McGregor (2000); E-commerce: consumer protection issues and implications for research and education; J Consumer Studies & Home Economics; Vol.24, No.2, June 2000, pp.124–127.

to ensure that customers in the digital economy have the same protections as those in the traditional marketplaces, the Court has broadened its interpretation of consumer rights under the Consumer Protection Acts of 1986 and 2019. The Supreme Court has also stipulated that those responsible, i.e., the sellers and the online marketplaces, ought to be held under a stricter accountability in cases of deceptive advertising, unfair business practices, and the provision of faulty products. By acting in a preventive manner and giving a wide interpretation of consumer laws, the Court has made a great leap in the confidence of online trade and has advanced a balanced regulatory framework that keeps consumer interests safe while not being an obstacle to digital innovation.

The right to get information about products and services from print media advertisements was directly acknowledged by the Supreme Court. in the case of **Tata Press Limited v. Mahanagar Telephone Nigam Limited and Ors.**[18]

Conclusion:

The rapid financial transactions, convenience, and increased choices for consumers that have resulted from expansion of e-commerce have established a new digital age. The Courts have also prioritized the obligations of digital platforms and intermediaries under the 2019 Consumer Protection Act and the 2000 Information Technology Act and have been willing to state that a statute which contemplates a modern risk-based framework must embrace forward thinking. The Courts have recognized the need for a robust legal framework that promotes, responsibility, fairness, and transparency in the internet economy and suggested that further rationalization of contractual limitations might occur.

The proactive role that the judiciary has taken, concerning matters that implicate digital consumers, such as the responsibility of online intermediaries, and misleading advertising practices, affirm that the role of the courts is paramount to the achievement of legal norms that keep pace with the rapid pace of technological progress.

The Courts' proactive role to protect the rights of online consumers are made clear in a number of cases, including Amazon Seller Services v. Amway India and others. Furthermore, Digital consumers' empowerment has advanced significantly as a result of the Court's emphasis on fair remedies, ethical business practices, and strong redressal procedures.

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[18] (1995) 5 SCC 139

1. Ashar Allan, Consumer Protection in E-Commerce Report on Oecd Guidelines for Consumer Protection in the Context of Electronic Commerce (2000) Published in Asia-Pacific Economic Cooperation Electronic Commerce Steering Group Workshop on Consumer Protection.